

Should You Register for VAT?

A decision guide for South African business owners

WHO THIS IS FOR

Owners approaching the compulsory threshold, or considering registering voluntarily.

WHAT IS INSIDE

- The compulsory and voluntary registration tests explained
- An honest list of what you gain and what you take on
- What SARS asks for at registration
- The compliance routine that starts the day you register

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The two ways you become a vendor

Registration is either compulsory or voluntary. Compulsory registration is triggered by taxable turnover in any twelve-month period exceeding the threshold in the VAT Act. Voluntary registration is available above a lower turnover figure, and in limited cases below it.

The rand thresholds are set by National Treasury and are adjusted from time to time. Confirm the current figures before acting — we check them against your actual turnover as part of a review.

- The compulsory test looks backwards over any twelve consecutive months, not at your financial year.
- It also applies forwards where you have a contractual obligation that will take you over the threshold.
- Registering late does not avoid the liability. SARS can register you from the date you should have registered, and charge the VAT you failed to collect.

Work out your own position

- ☐ Taxable turnover for the last 12 months: R_____
- ☐ Highest rolling 12-month turnover in the last 2 years: R_____
- ☐ Do I have a signed contract that will push me over the threshold? Yes / No
- ☐ What proportion of my customers are themselves VAT vendors? _____%
- ☐ Do I buy significant goods or services that carry VAT? Yes / No

What you gain by registering

- You can claim input VAT on qualifying business purchases, which is real money if you buy stock, equipment or services.
- Business customers do not care about your VAT, because they claim it back. Charging VAT to VAT vendors costs you nothing competitively.
- Registration is often treated as a credibility signal by larger customers and tender processes.

What you take on

- Your prices effectively rise for customers who cannot claim VAT back — the public, and small non-registered businesses. This is the decision that matters most if you sell to consumers.
- Returns every tax period, on time, forever. Late returns mean penalties and interest.
- Valid tax invoices become mandatory for every input claim. No valid invoice, no claim, regardless of whether you paid.
- Your record keeping must be good enough to survive a VAT verification, which is more common than an income tax audit.

- Deregistering later is not simple, and may trigger an exit charge on assets on hand.

What SARS asks for at registration

- ☐ Proof of the business bank account, in the entity's name
- ☐ Proof of address for the business
- ☐ Identity documents for the representative taxpayer
- ☐ Proof that you meet the turnover test — invoices, contracts or bank statements
- ☐ Company registration documents, where applicable
- ☐ A registered representative already verified on eFiling

The day you register, this becomes routine

- Every invoice you issue must meet the tax invoice requirements: the words 'tax invoice', your VAT number, the customer's details above the prescribed value, a serial number, the date, a description, and the VAT shown separately.
- Input VAT is blocked on entertainment, most motor cars and club subscriptions, regardless of business purpose.
- The VAT control account must be reconciled every period. A drifting VAT account is how verifications turn into assessments.
- Your VAT category determines your filing months, and SARS allocates it.

Would you rather not do this yourself?

We have kept books, filed returns and run payrolls from Amanzimtoti since 1980. Twenty minutes on the phone costs nothing and usually saves something.

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This document is general information about South African accounting and tax practice. It is not advice for your particular circumstances, and rules change — usually with the annual Budget. Confirm anything you intend to rely on.